

Wolaita Sodo University
College of Business and Economics
Department of Accounting and Finance
The 3rd Round Mock Exam for Accounting and Finance Regular Students

Date: January, 2025
Maximum Weight: 100%

Total Number of Questions: 100
Time Allowed: 3:00 Hours

Multiple Choice Questions:

Instruction: Choose the Best Answer from the given Alternatives. (1 point each)

1. Which of the following types of business organizations in Ethiopia has no limited liability?
- A. General partnership
 - B. Limited Partnership
 - C. Share company
 - D. Private limited company

Answer: A

2. Which of the following statement about an account is true?
- A. The right side of an account is the debit, or increase side
 - B. An account is an individual accounting record of increases and decreases in specific assets, liability, and equity items
 - C. There are separate accounts for specific assets and liabilities but only one account for stockholders' equity items
 - D. The left side of an account is the credit, or decrease, side.

Answer: B

3. Powers Corporation received a cash advance of ETB 500 from a customer. As a result of this event,
- A. Assets increased by ETB 500
 - B. Equity increased by ETB 500
 - C. Liabilities decreased by ETB 500
 - D. Both assets and Liability increased by ETB 500

Answer: D

4. When a company performs a service but has not yet received payment, it
- A. Debits Service Revenue and credits Accounts Receivable
 - B. Debits Accounts Receivable and credits Service Revenue
 - C. Debits Service Revenue and credits Accounts Payable
 - D. Makes no entry until cash is received.

Answer: B

5. In the first month of operations, the total of the debit entries to the Cash account amounted to ETB 3,000 and the total of the credit entries to the Cash account amounted to ETB 1,800. The Cash account has
- A. ETB 1,800 credit balance
 - B. ETB 3,000 debit balance
 - C. ETB 1,200 debit balance
 - D. ETB 1,800 credit balance

Answer: C

6. At November 1, 20XX, Johnson Inc. had an Accounts Receivable balance of ETB 200,000. During the month, the company made sales on account of ETB 300,000. In addition, Johnson Inc. collected ETB 400,000 from customers that owed them money. At November 30, 2018, the Accounts Receivable balance is

- A. ETB 100,000 debit
- B. ETB 100,000 credit
- C. ETB 500,000 debit
- D. ETB 300,000 credit

Answer: A

7. Which of the following steps in the accounting process is done after analyzing business transactions?
- A. Preparing the financial statements
 - B. Preparing a trial balance
 - C. Entering transactions in a journal
 - D. Posting journal entries

Answer: C

8. Digote Company had the following transactions during 20X2. Sales of ETB 9,000 on account. Collected ETB 4,000 for services to be performed in 20X3. Paid ETB 2,650 cash in salaries. Purchased airline tickets for ETB 500 in December for a trip to take place in 20X3. What is Digote's 20X2 net income using cash basis accounting?
- A. ETB 10,350
 - B. ETB 1,350
 - C. ETB 9,850
 - D. ETB 8508

Answer: C

9. Multi-step income statement _____.
- A. Separates cost of goods sold from operating expenses
 - B. Considers interest revenue as an operating activity
 - C. Is another name for a simple income statement
 - D. Combines cost of goods sold and operating expenses

Answer: A

10. A customer obtains an allowance from the retailer in the amount of ETB 450 for damaged merchandise. Which of the following represents the journal entry for this transaction, assuming the customer has not remitted payment?
- A. Debit Sales Return & Allowance, ETB 450; credit Cash, ETB 450
 - B. Debit Sales Return & Allowance, ETB 450; credit Account Receivable, ETB 450
 - C. Debit Sales Return & Allowance, ETB 450; credit Accounts Payable, ETB 450
 - D. None of the above

Answer: B

11. An aging of a company's accounts receivable indicates that ETB 6,000 are estimated to be uncollectible. If Allowance for Doubtful Accounts has a ETB 2,000 debit balance, the adjustment to record bad debts for the period will require a
- A. Debit to Bad Debt Expense for ETB 8,000
 - B. Debit to Allowance for Doubtful Accounts for ETB 8,000
 - C. Debit to Bad Debt Expense for ETB 4,000
 - D. Credit to Allowance for Doubtful Accounts for ETB 4,000

Answer: A

12. The interest on a ETB 10,000, 9%, 90-day note receivable is
- A. ETB 225
 - B. ETB 900
 - C. ETB 75
 - D. ETB 150
13. Which of the following is the starting point for an entity accounting in accordance with IFRSs?
- A. The date when the decision about adopting IFRS has been made
 - B. The date of issuance of the first financial statement in accordance with IFRS
 - C. The date of transition to IFRSs
 - D. The date when the explicit and unreserved statement of compliance with IFRSs has been made

Answer: C

14. An entity's first IFRS financial statements shall include at least _____, _____, two separate statements of profit or loss (if presented), two statements of cash flows, two statements of changes in equity and _____, including comparative information for all statements presented.
- A. Three statements of profit or loss and other comprehensive income; two statements of financial position; related notes
 - B. Two statements of financial position; two statements of profit or loss and other comprehensive income; two sets of related notes
 - C. Three statements of financial position; two statements of profit or loss and other comprehensive income; related notes
 - D. Three statements of financial position; three statements of profit or loss and other comprehensive income; two sets of related notes

Answer: C

15. Which of the following would not be considered as capital market security?
- A. A corporate bond
 - B. A common stock
 - C. A 6-month Treasury bill
 - D. A mutual fund share

Answer: C

16. What is the main focus of an operational audit?
- A. Financial statement accuracy
 - B. Efficiency and effectiveness of operations
 - C. Compliance with laws and regulations
 - D. Risk management practices

Answer: B

17. Which statement about internal auditors is NOT true?
- A. They are employed by the organization they audit.
 - B. They report to the board of directors.
 - C. They can provide consulting services.
 - D. They are independent from the organization.

Answer: D

18. What is "sampling risk"?
- A. The risk of selecting a non-representative sample
 - B. The risk of fraud occurring in the sampled transactions
 - C. The risk of an auditor not being able to complete the audit
 - D. The risk of miscommunicating audit findings

Answer: A

19. The concept of "independence" in auditing refers to:
- A. The auditor's ability to conduct audits without help
 - B. The auditor's lack of personal interest in the client
 - C. The auditor's independence from accounting software
 - D. The client's independence from competitors

Answer: B

19. What does "audit evidence" refer to?
- A. Information collected by the auditor to support conclusions
 - B. Financial statements prepared by management
 - C. Reports prepared by internal auditors
 - D. Legal documents related to financial transactions

Answer: A

20. Which audit opinion indicates that an auditor could not obtain sufficient evidence?
- A. Unmodified opinion
 - B. Qualified opinion
 - C. Adverse opinion
 - D. Disclaimer of opinion

Answer: D

21. What is the purpose of internal controls?
- A. To prepare financial statements
 - B. To provide reasonable assurance regarding the achievement of objectives
 - C. To detect fraud
 - D. To ensure auditor independence

Answer: B

22. What is an adverse opinion in auditing?
- A. An opinion that financial statements are free of material misstatement
 - B. An opinion indicating serious misstatements
 - C. An opinion with reservations
 - D. An opinion stating that the auditor could not obtain sufficient evidence

Answer: B

23. What is the term for the amount that an auditor believes could be misstated without affecting the decision of a reasonable user?
- A. Audit risk
 - B. Control risk
 - C. Materiality
 - D. Detection risk

Answer: C

24. What is the primary distinction between modern and traditional concepts of financial management?
- A. Modern concepts focus only on fundraising.
 - B. Traditional concepts emphasize the broad scope of finance.
 - C. Modern concepts integrate financial activities with decision-making and resource allocation.
 - D. Traditional concepts focus on technological advancements.

Answer: C

25. Which of the following is considered an agency cost in financial management?
- A. Revenue earned from capital markets
 - B. Monitoring expenditures like fees for external auditors
 - C. Incremental cash flows from new projects
 - D. Profits earned by shareholders

Answer: B

26. You purchased one share of Mesobo Cements for \$261.25. Based on varying economic conditions, the expected market price after a year could be \$305.50, \$285.50, \$261.25, or \$243.50. Dividends are \$4, \$3.25, \$2.50, and \$2, respectively, for these scenarios. Calculate the expected rate of return. What is the expected rate of return?
- A. 8.5%
 - B. 6.0%
 - C. 7.2%
 - D. 5.5%

Answer: B

27. You are investing in two assets, X and Y, with the following expected returns and risks:
- X: Expected return = 5%, standard deviation = 5.80%
 - Y: Expected return = 8%, standard deviation = 7.63%

The correlation coefficient (ρ) between X and Y is -0.746. You invest 57.8% in X and 42.2% in Y. What is the portfolio variance?

- A. 5.48%
- B. 11.23%
- C. 8.70%
- D. 6.35%

Answer: A

28. The share prices of Hypothetical Company fluctuate under varying economic conditions, with a beta of 1.5. The risk-free rate (r_f) is 5%, and the expected market return (r_m) is 12%. What is the required rate of return according to the CAPM model?

- A. 14.5%
- B. 16.5%
- C. 13.0%
- D. 12.5%

Answer: B

29. You are considering investing in Jenson & Nicholson shares. Over a five-year period, the returns are -28.7%, 56.2%, 123.4%, 52.2%, and 57%. Calculate the standard deviation of returns. What is the standard deviation of returns?

- A. 52.13%
- B. 47.65%
- C. 60.28%
- D. 49.87%

Answer: A

30. You are constructing a portfolio with equal investment in two securities, M and N. The expected return of M and N is 16%, and the standard deviations are 20% each. What is the portfolio variance if the correlation coefficient between M and N is +0.10? What is the portfolio variance?

- A. 0.042
- B. 0.038
- C. 0.035
- D. 0.025

Answer: A

31. A company issues bonds with a par value of \$1,000, a 10% coupon rate, and a 15-year maturity. The bonds are sold for \$950, and flotation costs amount to \$30 per bond. The company's marginal tax rate is 35%. What is the after-tax cost of debt?

- A. 7.43%
- B. 8.27%
- C. 6.55%
- D. 9.12%

Answer: A

32. Satellite Share Company plans to issue preferred stock with a par value of \$50 per share. The stock will pay quarterly dividends of \$1.25, and flotation costs are 6% of par value. The stock sells at 95% of its par value. What is the cost of preferred stock?

- A. 9.80%
- B. 11.00%
- C. 10.50%
- D. 8.60%

Answer: B

33. A company is planning to issue new equity shares priced at \$100 per share with a flotation cost of 5%. The expected dividend at the end of the first year is \$6 per share, and the dividend growth rate is 7%. What is the cost of equity?

- A. 12.63%
- B. 13.32%
- C. 13.63%
- D. 12.00%

Answer: C

34. Apple Manufacturing Company has the following capital structure based on market value:

Debt: \$1,000,000 (Cost = 5.3%)
Preferred stock: \$125,000 (Cost = 12%)
Common equity: \$1,375,000 (Cost = 16%)

What is the weighted average cost of capital (WACC)?

- A. 11.52% B. 10.93% C. 12.35% D. 11.15%

Answer: A

35. A board of directors for X Corporation announces a dividend increase from \$1 per share to \$1.25 per share. This decision was made based on sustained earnings growth over the last four quarters. Following the announcement, the stock price increased by 5% in the market. What is the most likely explanation for the stock price increase following the dividend announcement?

- A. Investors prefer reinvesting dividends rather than receiving cash.
B. The announcement conveys positive information about the company's future earnings.
C. The increase aligns with the ex-dividend date, and investors aim to qualify for dividends.
D. The stock market automatically adjusts to changes in dividend payout ratios.

Answer: B

36. Corporation has volatile earnings due to its cyclical business operations. The company's management is debating between adopting a stable dividend-per-share policy and a residual-dividend policy. Which dividend policy is most suitable for Y Corporation, and why?

- A. stable dividend-per-share policy, because it avoids signaling instability to investors.
B. Residual-dividend policy, because it allows flexibility in retaining earnings for investments.
C. Constant dividend-payout-ratio policy, as it reflects earnings performance directly.
D. Compromise policy, to balance investor expectations with earnings variability.

Answer: B

37. A high-net-worth individual is evaluating two investment options: shares in A Corporation, which pays regular high dividends, and shares in B Corporation, which retains earnings for reinvestment and capital gains. The investor falls under the highest tax bracket. Which investment is most tax-efficient for the investor, and why?

- A. A Corporation, because regular dividends ensure steady income.
B. B Corporation, because capital gains are taxed at a lower effective rate.
C. A Corporation, as it allows for dividend reinvestment with no additional tax impact.
D. Both are equally efficient due to tax-exempt status for high-net-worth investors.

Answer: B

38. Z Corporation decides to reduce its stock price to attract smaller investors. It currently has 1,000,000 shares at \$50 per share and decides on a 2-for-1 stock split. What will be the new par value of each share after the split, and how does this differ from a stock dividend?

- A. \$50; a stock split reduces retained earnings, unlike a stock dividend.
B. \$25; a stock split decreases par value, while a stock dividend does not.
C. \$25; a stock dividend increases shares outstanding without affecting par value.
D. \$50; both stock splits and stock dividends leave par value unchanged.

Answer: B

39. A retail company needs to finance its temporary working capital needs, and its management decides to use short-term financing to minimize costs. However, it also uses long-term financing for permanent current assets. What type of financing mix approach does this company follow, and what are its implications?

- A. Conservative Approach: Leads to higher safety but lower profitability.
B. Aggressive Approach: Leads to lower costs but increases risks during emergencies.

- C. Hedging Approach: Matches the asset's life with the source of finance to balance risk and profitability.
- D. Dynamic Approach: Adjusts financing based on market conditions and asset requirements.

Answer: C

40. A firm currently has annual sales of \$5 million and an average collection period of 30 days. It plans to relax its credit policy, which will increase sales by \$200,000, increase bad debt expenses by 1.5%, and extend the collection period by an additional 30 days. The profitability rate is 10%, and the cost of borrowing is 6%. Should the firm adopt this credit policy? What will be the net return under the new policy, and should the firm implement it?
- A. Net return: \$7,000; Yes, implement the policy.
 - B. Net return: -\$10,000; No, do not implement the policy.
 - C. Net return: \$10,000; Yes, implement the policy.
 - D. Net return: -\$2,000; No, do not implement the policy

Answer: B

41. A company has annual credit sales of \$16 million, with 60% on credit. Its current average collection period is 75 days, and bad debts are 1% of credit sales. The company spends \$75,000 annually on credit collection costs, and its borrowing cost is 6%. A factoring firm offers to manage the receivables for a fee of 1.75% of credit sales and provide 80% of the receivables as an advance within 10 days. Should the company use the factoring service? What is the net benefit or cost of using factoring, and what should the company do?
- A. Net benefit: \$43,333; Use factoring.
 - B. Net benefit: -\$51,667; Do not use factoring.
 - C. Net benefit: \$0; Indifferent to factoring.
 - D. Net benefit: \$50,000; Use factoring

Answer: A

42. A firm's current credit policy has a profitability slope of 12% and a liquidity slope of 8%. It is considering hardening its credit terms to reduce receivables and costs, but this will decrease sales and move the profitability slope to 9%. Based on the trade-off, what should the firm do?
- A. Maintain the current credit policy as it aligns profitability and liquidity optimally.
 - B. Harden the credit policy to minimize receivable costs.
 - C. Soften the credit policy to increase profitability.
 - D. Adopt factoring services to improve cash flow.

Answer: A

43. A company has an economic order quantity of 1,500 units. Its lead time is 2 weeks under normal conditions but may extend to 3 weeks during supply chain delays. The average weekly usage of inventory is 500 units, and the maximum weekly usage is 600 units. Calculate the reorder point under uncertainty. What is the reorder point for this company under uncertainty?
- A. 1,500 units
 - B. 1,600 units
 - C. 2,000 units
 - D. 2,300 units

Answer: C

44. A flexible-budget variance is \$600 favorable for unit-related costs. This indicates that costs were:
- A. \$600 more than the master budget

- B. \$600 less than for the planned level of activity
- C. \$600 more than standard for the achieved level of activity
- D. \$600 less than standard for the achieved level of activity

Answer: D

45. A favorable efficiency variance for direct materials might indicate:
- A. That lower-quality materials were purchased
 - B. An over skilled workforce
 - C. Poor design of products or processes
 - D. A lower-priced supplier was used

Answer: B

46. The cost to produce Part A was \$20 per unit in 2013 and in 2014 it has increased to \$22 per unit. In 2014, Supplier ABC has offered to supply Part A for \$18 per unit. For the make-or-buy decision:
- A. Incremental revenues are \$4 per unit
 - B. Incremental costs are \$2 per unit
 - C. Net relevant costs are \$2 per unit
 - D. Differential costs are \$4 per unit

Answer: D

47. Which standard covers non-current assets held for sale and discontinued operations.
- A. IAS 38
 - B. IAS 41
 - C. IFRS 5
 - D. IFRS 6

Answer: C

48. Investors agree to invest in high- risk investments if only
- A. There are any true speculations
 - B. The predicted return is satisfactory for taking a risk
 - C. There are no safe options except for holding cash
 - D. The return is short

Answer: B

49. Which of the following items qualifies as property, plant and equipment?
- A. A machine bought for use during a single accounting period
 - B. A machine bought for resale to a customer
 - C. A machine bought for use in more than one accounting period
 - D. Computer software bought for use in more than one accounting period

Answer: C

50. Which of these would cause the inventory turnover ratio to increase the most?
- A. Increasing the amount of inventory on hand.
 - B. Keeping the amount of inventory on hand constant but increasing sales.
 - C. Keeping the amount of inventory on hand constant but decreasing sales.
 - D. Decreasing the amount of inventory on hand and increasing sales.

Answer: D

51. Harold Company overstated its inventory by \$15,000 at December 31, 2010. It did not correct the error in 2010 or 2011. As a result, Harold's owner's equity was:
- A. Overstated at December 31, 2010, and understated at December 31, 2011
 - B. Overstated at December 31, 2010, and properly stated at December 31, 2011
 - C. Understated at December 31, 2010, and understated at December 31, 2011
 - D. Overstated at December 31, 2010, and overstated at December 31, 2011

Answer: B

52. Claims for which formal instruments of credit are issued as proof of the debt are
- A. Accounts receivable
 - B. Interest receivable
 - C. Notes receivable
 - D. Other receivables

Answer: C

53. To record estimated uncollectible accounts using the allowance method, the adjusting entry would be
- A. Debit to Accounts Receivable and a credit to Allowance for Doubtful Accounts.
 - B. Debit to Bad Debt Expense and a credit to Allowance for Doubtful Accounts.
 - C. Debit to Allowance for Doubtful Accounts and a credit to Accounts Receivable.
 - D. Debit to Loss on Credit Sales and a credit to Accounts Receivable.

Answer: B

54. Going concern can be defined best as:
- A. The concept provides the basis for the formation of the accounting equation.
 - B. This concept refuses allocation of cost on different accounting periods.
 - C. This concept discusses the issue of the realization of profit.
 - D. This concept assumes that the business will operate for a long period of time and will not be dissolved in the near future.

Answer: D

55. Which of the following is a characteristic of a governmental fund?
- A. Focus on net income
 - B. Use of accrual accounting
 - C. Use of modified accrual accounting
 - D. Profit motive

Answer: C

56. What does the term "encumbrance" refer to in fund accounting?
- A. A long-term asset
 - B. A liability
 - C. A commitment to spend
 - D. A revenue source

Answer: C

57. Which of the following is an example of a special revenue fund?
- A. General Fund
 - B. Debt Service Fund
 - C. Library Fund
 - D. Capital Projects Fund

Answer: C

58. Which statement is true regarding the Debt Service Fund?
- A. It accumulates resources for long-term capital projects.
 - B. It accounts for the payment of interest and principal on long-term debts.
 - C. It is used for daily operating expenses.
 - D. It is funded primarily through grants.

Answer: B

59. Which of the following is a characteristic of proprietary funds?
- A. They are used for government operations.
 - B. They operate like a business.
 - C. They are only for non-profit organizations.
 - D. They do not generate revenue.

Answer: B

60. Fiduciary funds are primarily used for:
- A. Personal investments
 - B. Managing assets on behalf of others
 - C. Governmental operations
 - D. Private equity funding

Answer: B

61. Which fund type is classified by the government as a fund providing services to the public for a fee?
- A. Governmental fund
 - B. Proprietary fund

C. Fiduciary fund

D. Capital projects fund

Answer: B

62. The ability-to-pay principle of taxation suggests that:

A. Taxes should be based on consumption

B. Individuals should pay taxes based on their income

C. Everyone should pay the same amount

D. Taxes should be flat-rate

Answer: B

63. Which of the following is a characteristic of a good tax system?

A. Complexity

C. Lack of transparency

B. Equity

D. High rates

Answer: B

64. Which tax is levied on the transfer of property at death?

A. Inheritance tax

C. Gift tax

B. Estate tax

D. Capital gains tax

Answer: B

65. Which of the following best describes "public goods"?

A. Goods provided exclusively by the private sector

B. Goods that are non-excludable and non-rivalrous

C. Goods that are sold at market prices

D. Goods that require user fees

Answer: B

66. Which of the following is a potential consequence of high taxation?

A. Increased investment

C. Higher consumer spending

B. Tax evasion

D. Decreased public debt

Answer: B

67. What is the primary aim of tax incentives?

A. To increase government revenue

B. To encourage certain behaviors or investments

C. To simplify the tax code

D. To reduce public spending

Answer: B

68. Which of the following taxes is typically levied on specific goods, such as alcohol or tobacco?

A. Value-added tax

C. Excise tax

B. Income tax

D. Property tax

Answer: C

69. What does "tax neutrality" mean?

A. Taxes are the same for everyone

C. All taxes are voluntary

B. Taxes do not distort economic decisions

D. Taxes are collected without any cost

Answer: B

70. Which of the following is a potential advantage of a flat tax system?

A. Increased complexity

C. Simplicity in tax compliance

B. Greater equity

D. Higher rates for the wealthy

Answer: C

71. Which of the following describes a "regressive tax"?

A. Tax rates increase as income increases

- B. Tax rates decrease as income increases
- C. Tax rates are fixed regardless of income
- D. Tax rates are based on consumption

Answer: B

72. What is the main purpose of the government's budget?

- A. To allocate resources and plan expenditures
- B. To increase public debt
- C. To manage private sector investments
- D. To regulate monetary policy

Answer: A

73. What is the primary function of interest rates in the economy?

- A. They determine the value of currency
- B. They help in the allocation of savings to investments
- C. They regulate the stock market
- D. They control inflation

Answer: B

74. Which theory suggests that interest rates are determined by the supply and demand for loanable funds?

- A. Liquidity Preference Theory
- B. Loanable Funds Theory
- C. Market Segmentation Theory
- D. Expectations Theory

Answer: B

75. According to the document, what is the minimum capital requirement for establishing a private bank as of 2021?

- A. ETB 10 million
- B. ETB 75 million
- C. ETB 500 million
- D. ETB 5 billion

Answer: D

76. If you expect the inflation rate to be 15 percent next year and a one-year bond has a yield to maturity of 7 percent, then the real interest rate on this bond is:

- A. 7 percent.
- B. 22 percent.
- C. -15 percent.
- D. -8 percent.

Answer: D

77. The riskiest capital market security is;

- A. Preferred stock
- B. Common stock
- C. Corporate bonds
- D. Treasury bonds.

Answer: B

78. In which of the following situations would you prefer to be making a loan?

- A. The interest rate is 9 percent and the expected inflation rate is 7 percent.
- B. The interest rate is 4 percent and the expected inflation rate is 1 percent.
- C. The interest rate is 13 percent and the expected inflation rate is 15 percent.
- D. The interest rate is 25 percent and the expected inflation rate is 50 percent.

Answer: B

79. The principal objectives of the Capital Market Authority of Ethiopia shall include all: Except

- A. To protect investors;
- B. To ensure the existence of a capital market environment in which securities can be issued and traded in an orderly, fair, efficient and transparent manner;
- C. To increase systemic risk by ensuring the integrity of the capital market and transactions;

D. To promote the development of the capital market by creating enabling environment for long term investments.

Answer: C

80. What is meant by "asymmetric information" in financial markets?

- A. All participants have equal information
- B. Some participants have more information than others
- C. Information is irrelevant to market decisions
- D. Information is always accurate

Answer: B

81. What is the main regulatory body of the banking sector in Ethiopia?

- A. Ministry of Finance
- B. National Bank of Ethiopia
- C. Ethiopian Commodity Exchange
- D. Insurance Council

Answer: B

82. Considering the Ethiopian financial system, what could be a potential benefit of allowing foreign banks to operate?

- A. Increased regulatory complexity
- B. Greater competition and improved banking services
- C. Decreased public confidence
- D. Enhanced government control

Answer: B

83. What is the primary reason for the stringent regulation of banks in Ethiopia?

- A. To promote competition
- B. To eliminate foreign banks
- C. To maintain public confidence and prevent financial crises
- D. To increase profitability

Answer: C

84. What is the primary purpose of derivatives in financial markets?

- A. Reduce liquidity
- B. Manage risk
- C. Guarantee profits
- D. Eliminate competition

Answer: B

85. If a company has to pay 10,000 EUR in 30 days and the current exchange rate is 1.10 USD/EUR, how much will it need in USD?

- | | | | |
|-------------|-----------|-----------|-----------|
| A. 9,090.91 | B. 11,000 | C. 10,000 | D. 12,100 |
| USD | USD | USD | USD |

Answer: A

86. Which of the following is a common hedging strategy in foreign currency transactions?

- A. Currency speculation
- B. Forward contracts
- C. Arbitrage
- D. Day trading

Answer: B

87. What is the minimum revenue threshold for a segment to be reported separately under IFRS 8?

- A. 5% of total revenue
- B. 10% of total revenue
- C. 15% of total revenue
- D. 20% of total revenue

Answer: B

88. Which of the following statements is true regarding segment accounting?

- A. All segments must be reported regardless of size.
- B. Segments must be aligned with the company's internal reporting.
- C. Only profitable segments need to be reported.

D. Segments are always based on geographic areas.

Answer: B

89. Which of the following is a common reason for forming a joint venture?

- A. To avoid competition
- B. To share risks and costs
- C. To eliminate the need for a business plan
- D. To monopolize a market

Answer: B

90. If a joint venture's capital structure consists of 40% equity and 60% debt, how much equity is there in a \$1,000,000 venture?

- A. \$400,000
- B. \$600,000
- C. \$800,000
- D. \$200,000

Answer: A

91. What is the primary purpose of an allowance in compensation?

- A. To increase salary
- B. To cover specific expenses
- C. To reduce tax liability
- D. To provide bonuses

Answer: B

92. In a partnership, if the profit-sharing ratio is 1:2 and the total profit is \$90,000, what amount does the second partner receive?

- A. \$30,000
- B. \$60,000
- C. \$45,000
- D. \$15,000

Answer: B

93. Using the double-declining balance method, what is the depreciation expense for the second year for an asset costing \$90,000 with a useful life of 5 years?

- A. \$36,000
- B. \$24,000
- C. \$18,000
- D. \$30,000

Answer: A

94. What is the maximum corporate tax rate for companies in Ethiopia as of 2023?

- A. 25%
- B. 30%
- C. 35%
- D. 40%

Answer: B

95. What is the primary method of amortizing intangible assets?

- A. Straight-line method
- B. Declining balance method
- C. Units of production method
- D. No amortization is required

Answer: A

96. Goodwill arises when:

- A. A company acquires another company for more than the fair value of its net identifiable assets
- B. A company sells its intangible assets
- C. A company creates a new patent
- D. A company's assets are revalued

Answer: A

97. Which of the following is a condition for a share-based payment to be classified as equity-settled?

- A. The payment is settled in cash
- B. The employee must exercise the option
- C. The employee must provide services
- D. The fair value of goods or services received is not measurable

Answer: C

98. Deferred tax liabilities arise when:

- A. Taxable income is less than accounting income
- B. Taxable income is greater than accounting income
- C. There are permanent differences between tax and accounting income

D. There are no timing differences

Answer: B

99. When should an entity recognize a liability under IFRS 17?

A. When premiums are received

C. When the coverage period begins

B. When a contract is signed

D. When the contract is underwritten

Answer: C

100. What is the primary challenge in valuing goodwill?

A. It has a finite life

C. Its value is subjective

B. It cannot be sold separately

D. It is always amortized

Answer: C